KRJP Cross Border Bi-weekly Sync

28 Mar 2025

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KRJP Bi-weekly agenda

1. **Follow-ups**
2. **Overall Performance**
   2a. Topline
   2b. OKR

3. **For Alignment / Discussion**
   Operation - [KR] LFF subsidy options (Joanne)
   Operation - [KR] WH RFQ (Haenle)

4. **For Updates**
   Commercial - [KR] New Seller Package (Songie)
   Commercial - [JP] TW fraud (Mayuko)

Follow-Ups -please update on g-sheet

#	page no.	Topic	Action Items	PIC	Deadline	Status
6		Brand Migration	Managed Brands Migration - Full potential (done as of end Feb) - SIP/migration tool adoption evaluation (done as of mid Mar) - Monthly target (shop, sku, ado) setting by end Mar - Migration project start from April 1	Songie, Chowon	By April 1	Work In Progress
8-1		JP- New Seller pkg	Above for JP	Hiroki, Songie, Jason	21 Feb → Mar	Delayed with PIC change
10		JP - Kick-back initiative	Add existing seller segment plan and impact	Hiroki	End of Mar	Work In Progress (JP PIC changed)

please modify here

2a. Topline

KRJP Mar Topline : KR/JP Mar Total PnL grew MoM +4%, mainly from both KR/JP Revenue growing 21%/16% resprecitvley yet, JP PC2$ decreased MoM 26% as PRM outpaced revenue growth in MY/PH

Data 3/1-3/25

		Feb 2024	Feb 2025	Mar 2025					Apr 2025
						Projected			
		Y-1 actual	M-1 Actual	Projected	Target	RR	MoM	YoY	Target
KRCB	KR ADO	42,546	53,375	55,257	55,115	100%	4%	30%	54,406
	KR ADO% to CB	2.15%	1.93%	1.93%	1.84%	105%	0%	-10%	1.91%
	KR ADGMV($)	813,452	1,049,255	1,094,347	1,048,160	104%	4%	35%	1,012,993
	KR ADGMV(%)	4.82%	4.95%	4.79%	4.59%	104%	-3%	-1%	4.80%
	ABS($)	$19.12	$19.66	$19.80	$19.02	104%	1%	4%	$18.62
JPCB	JP ADO	2,728	9,748	9,381	10,245	92%	-4%	244%	8,898
	JP ADO% to CB	0.14%	0.35%	0.31%	0.34%	92%	-11%	128%	0.31%
	JP ADGMV($)	142,895	371,940	364,093	400,531	91%	-2%	155%	398,084
	JP ADGMV(%)	0.85%	1.76%	1.60%	1.76%	91%	-9%	89%	1.89%
	ABS($)	$52.38	$38.16	$38.81	$39.10	99%	2%	-26%	$44.74
KRCB P&L	Revenue ($)	3,461,189	4,493,164	5,442,123	5,163,489	105%	21%	57%	5,071,156
	PRM ($)	1,937,211	2,884,761	3,648,749	3,056,618	119%	26%	88%	2,962,992
	PC2 ($)	1,277,268	1,282,293	1,417,297	1,759,873	81%	11%	11%	1,738,518
	PC2 (%)	5.41%	4.36%	4.18%	5.42%	77%	-4%	-23%	5.41%
	Take Rate %	14.67%	15.29%	16.04%	17.59%	91%	5%	9%	15.77%
	CIR %	8.21%	9.82%	10.76%	9.41%	114%	10%	31%	9.21%
JPCB P&L	Revenue ($)	381,127	1,076,129	1,252,259	1,299,900	96%	16%	229%	1,106,731
	PRM ($)	171,102	680,138	921,125	858,063	107%	35%	438%	709,968
	PC2 ($)	166,342	281,598	205,846	317,555	65%	-27%	24%	262,327
	PC2 (%)	3.76%	2.70%	1.82%	2.56%	71%	-33%	-51%	2.20%
	Take Rate %	8.60%	10.33%	11.09%	10.47%	106%	7%	29%	9.28%
	CIR %	3.86%	6.53%	8.16%	7.65%	107%	25%	111%	5.95%
KRJP SLS	SLS Revenue ($)	3,543,129	4,463,339	4,713,700	4,419,111	107%	6%	33%	5,460,265
	Total SLS Order	909,415	1,249,061	1,287,896	1,243,018	104%	3%	42%	1,545,314
	PPO	$1.02	$0.52	$0.52	$0.39	134%	1%	-49%	0.43
KRJP Total P&L (MP PC2 + SLS P&L)		2,371,394	2,208,737	2,292,850	2,560,124	90%	4%	12%	2,660,693

1

2

3

Highlights

KRJP Topline : KRJP Mar MoM 8%(Mar MTD vs. Feb same period) showing faster growth than Platform/CB's 4% due to continued impact of 3.3 uplift and KRVN mega KOL LS

- 1 KR EOM projected MoM +4% showing good growth trajectory, 2 JP on the other hand is continuously seeing MoM -4% drop in topline due to TW fraud shop freezing, TH Japan nation-wide F&B supply issue, and VN VAT full-month impact from March. TW impact will be minimal from Apr onwards but the structural issue of TH and VN will continue to impact

KRJP Total PnL: 3 KRJP Mar PnL $2.3mil with MoM +4%growth yet expect to close behind target; 1) KR shows strong Rev growth MoM +21% resulting in MoM +11% increased PC2$ making up for the increased PRM, on the other hand 2) JP PRM $ outgrew Rev resulting in MoM -26% in PC2$

- 25% of KR Rev increment comes from VN charged services and MKT pkg from ST Brand sellers
- For JP, MY/PH PRM increase contributes to >80% of JP PRM increment from platform wide PH spending more to defend market share against TTS/LZD while MY launched a feature that allows for stacking of platform and shop vouchers.

PRM target will be bottom up set by KRJP and shred via CBBI making PC2 $/% more "realistic" to KRJP situation from Apr)

2b. OKR

KRJP Mar OKR: Expected to close ahead of target for most of the OKR items, but low RR for video ADG % due to VN video PRM optimization and cutting down SHP supported commissions for low performed KOL segments

KRJP OKR EOM Projection vs. Target RR%

	KR/JP OKR	Feb-25	Mar-25			
		Actual	MTD Actual	EOM projection	Target	EOM RR vs. Target %
1	KRJP ADG as % of CB	6.7%	6.9%	6.5%	6.2%	104.6%
	KRJP ADO as % of CB	2.3%	2.4%	2.3%	2.1%	105.2%
	JP new seller #	426	349	416	403	103.3%
	JP new seller ADO	1307	1375	1429	1373	104.1%
	JP new seller ADO % to JPCB	13.4%	14.2%	14.9%	13.4%	110.8%
	KR New seller ADO% to KRCB	2.6%	3.4%	3.5%	3.3%	106.4%
	KR ADG share in SEA (TTS + LZD)	89%	89.0%	/	86.0%	103.5%
	JP ADG share in SEA (LZD)	97%	97.0%		96.0%	101.0%
	KRCB ADO% to platform's KR origin SKUs ADO	24.31%	24.3%		26.0%	93.5%
	JPCB ADO% to platform's JP origin SKUs ADO	1.95%	2.0%		2.0%	98.5%
	KRJP EBITDA as % KRJP GMV	2.7%	2.5%	2.5%	2.4%	102.1%
	KRJP LS ADG as % KRJP SEA+TW	7.3%	9.0%	/	6.6%	136.1%
2	KRJP Video ADG as % KRJP SEA+TW	4.4%	3.8%		4.0%	94.8%
4	KRJP XDD+NDD coverage %	25.6%	31.2%		30.0%	104.0%
	KRJP average BWT	7.24	6.59		7.40	112.3%
	KRJP CPO	$2.99	$3.15	$3.14	$3.25	96.6%
3	KRJP local fulfilled ADO as % of CB LFF	3.22%	3.48%	3.38%	3.17%	106.6%
	KFBS ADO	1,586	1,735	1,672	1,351	123.8%

Data 3/1-3/25

Highlights

KRJP Topline related OKR: 1 Expected to close 104%/105% Target RR for ADG/ADO share to CB respectively, growing faster than CB/PLT by MoM 8%(vs. 4%) supported from continued impact of strong 3.3 performance and KRVN due to Mega KOL LS

KRJP Key growth driver OKR:

- 2 **Live Stream:** As there were x 2.5 Mega KOL live sessions in Mar vs Feb, hence PRM investment is also higher which lead to high LS performance
  Video: Aside from LS PRM re-allocation from video to LS, video dropped also because of additional PRM optimization in video itself, to aim for video pc2 % neutral, and also cutting of SHP supported commissions to low quality contents KOL segments
- 3 KRJP LFF and KFBS on track from MY 28% MoM, 60% of the growth came from RVP sellers. VN also showed strong growth with MoM 34% from clearance campaigns

Logistics OKR: all show good trajectory especially avg. 4 BWT reduced significantly vs. Feb mainly from CDT reduction and will resume MY XDD channel(ETA 3/30) which was temporarily suspended due to tighter custom clearance

Note:

1. *Competitor related metrics(ADG share in SEA, ADO% to platform's origin SKU ADO) are M-1 actual vs. M-1 target due to the time limitation of gov't official data publish period and processing time*
2. *New seller definition is sellers' which go-live after '24 Oct onwards*

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[KR] LFF subsidy options (Joanne)

[LFF Subsidy Program Proposal - Option B] Propose SHP subsidizes license related fees for SKUs in ADIS range between 1 & 2 (model level), as sellers are less likely to invest in these SKUs, despite impacting KR's LFF topline ADO by 1.22%, and KR can maintain positive PC2 with ≤90 day recovery days to recuperate investment budget

- **Background:** Recent seller survey indicates that sellers are hesitant to invest in license related fees for SKUs at ADIS model level ≤2
- **Proposal:** Propose Option B, in which SHP subsidizes 100% of license fees for ADIS >1 but ≤2 SKUs in VN, TH, and MY, with max potential incremental LFF ADO 396. This option has relatively high ADO impact to topline with high KR LFF PC2% while maintaining positive program seller level PC2%
  - For these eligible SKUs for each Option, we'll get sellers commit to inbound the quantity for the estimated order if they accept the subsidy and verbal consent on exclusivity of these SKUs for the license duration (~1year)
  - 1 Option B (vs Option A which has higher ADO impact) deprioritizes SKUs with SHP investment recovery days >90 to reduce the risk of SHP not recovering investment/budget if sellers fail to replenish program SKU due to low sales, as these SKUs are already considered 'low sales' by sellers

** LFF revenue and PC2 from LFF VN/TH/MY markets only*

	Option A	Option B	Option C	Option D
	Model level ADIS =>1 &<=2 SKUs from SMT1/2/3 brand sellers in VN, TH, MY.	Model level ADIS =>1 &<=2 SKUs from SMT1/2/3 brand sellers in VN, TH, MY. Excludes sellers with SHP investment (budget) recovery days >90 from Option A group.	Model level ADIS =>1.5 &<=2 SKUs from SMT1/2/3 brand sellers in VN, TH, MY.	Model level ADIS =>1.5 &<=2 SKUs from SMT1/2/3 brand sellers in VN, TH, MY. Excludes sellers with SHP investment (budget) recovery days >90 from Option C group.
Input (Budget)	**81,985 USD**	**66,765 USD**	**33,230 USD**	**27,500 USD**
Output				
Impact % to LFF Topline				
--Max Impact% to Topline ADO	1.6%	1.2%	0.8%	0.7%
--Max Incremental LFF ADO	551	396	283	239
--Max Incremental LFF Revenue (USD)	36,032	33,128	18,632	17,372
--Max New SKU Model #	500	401	333	303
Program Seller LFF Revenue/PC2%				
--LFF Revenue (USD)	195,020	192,115	177,619	176,360
--LFF PC1 (USD)	7,021	6,771	6,394	6,204
--LFF PC2 (USD)	8,269	20,834	93,267	97,927
--LFF PC2%	0.7%	1.69%	10.9%	11.5%
KR *LFF Revenue/PC2%				
--LFF Revenue (USD)	491,096	488,192	473,696	472,436
--KR LFF PC1 (USD)	23,434	23,184	22,807	22,617
--LFF PC2%	17.3%	16.8%	16.0%	15.8%
Program SKU Metrics				
--LFF ADO Per Model	1.1	1.0	0.8	0.8
--SHP Cost Per Model (USD)	164.0	167.6	99.8	90.8
--Avg SHP Investment Recovery Days	85 Days (Max 217 Days)	1 59 Days (Max 90 Days)	70 Days (Max 234 Days)	46 Days (Max 83 Days)

[KR] WH RFQ (Haenle)

We propose to switch 100% of TWH volume to a new 3PF, but due to this new vendor's lack of first mile pick up operations we'll see if our current vendor is willing to do only the pick up service (SPS) then our SLS PnL will by 1.5%p. If not, switch to a new vendor for both SoC and pick up operations which will improve SLS PnL by 2.9%p

- Based on 2nd round WH RFQ bidding result, Option A has the best cost improvement, but this new vendor is a 3PF with expertise in WH operations and has no first mile pickup service experience. Thus, to mitigate any transition risk (truck not hired on time, delivery route design or pickup error thus sellers not meeting DTS), we'll explore first 1 Option B and ask the current vendor if they can continue only the Shopee pickup service (SPS) and we change to new vendor only for the SoC operation. iff current vendor do not accept option B, will choose option A (full transition of SoC + SPS to new vendor) as we can manage the risk (next page)

2 We wanted to split volume into two (Option C) but due to minimal pnl impact of 0.4%p improvement, we looked into switching 100% of volume to the best rate vendor with proven fulfillment operations trackrecord in the market

3 Reason for CS cost: Current vendor says they're handling 500 TWH + firstmile related tickets per day max, and we're adding this to our CS agent cost (if ticket/agent surpasses our EOY CS productivity target (=CN's)). CS cost different across options because we take in all extra CS for A, all except pickup related CS for B, etc.This is a conservative simulation to take max ticket#, with no automation improvement (we can improve process when we get tickets ourselves)

'25 KR WH RQF Cost Comparison by options

		Current	Option A	Option B	2 Option C
Detail		Single TWH - 100% of SLS SoC - 100% of SPS(Shopee Pick Up service)	Single TWH(new vendor) - 100% of SLS SoC - 100% of SPS(Shopee Pick Up service)	Single TWH + 1 SPS vendor - 100% of SLS SoC(new vendor) 1 - 100% of SPS only(existing vendor)	Utilize 2 TWH incl. SPS service - 70% of SLS SoC(new vendor) - 30% of SLS SoC & 100% of SPS(existing vendor)
PnL	SLS PnL %	80.42%	77.51%	78.92%	80.01%
	reduction %p vs. current	-	**-2.91%p**	**-1.50%p**	**-0.41%p**
	SLS PnL $ (yearly total)	$10,420,513	$11,966,363	$11,215,433	$10,639,658
	increase %p vs. current		**14.83%**	**7.63%**	**2.10%**
	WH cost/ parcel (excl.TW)	$0.522	$0.384	$0.451	$0.501
	(ref) WH cost/ parcel - TW	*$0.590*	*$0.423*	*$0.487*	*$0.545*
3 PnL (if incl. extra CS cost)	*(ref) extra CS cost (yearly)* 1)	-	*$68,476*	*$54,786*	*$38,347*
	SLS PnL %	-	*77.64%*	*79.03%*	*80.08%*
	SLS PnL $	-	*$11,897,887*	*$11,160,647*	*$10,601,311*

Note:

1. ***Even with extra CS cost in case Shopee need to cover VAS(direct seller CS) by hiring extra headcounts, Option B still has meaningful P&L improvement of +0.74M USD***
   - Option A need 4 CS headcount, Option B is 80% of Option A because 20% of CS inquiries are regarding SPS which can be covered by existing vendor, Option C is 70% of Option B because new vendor will take 70% of SoC volume only
2. *SPS stands for Shopee Pick Up Service, which the service provider pick up Shopee volume from seller location (within greater Seoul area) with competitive rate*
3. *TW WHS cost is higher vs. non TW market as 1) TW customs require smaller size carton box for import goods, thus additional material required from vendor, and 2) extra carton labelling requested by TW customs*
4. *Option B included current vendor's SPS supporting cost as 137k per month(estimation).*

Appendix - Propose in sequence of B>A>C, Option B which has high flexibility of capacity increase and smooth transition to the new vendor

Key Highlights

- **Potential operational risks (Low-risk) from full vendor transition and how we will mitigate**
  1. Firstmile SPS operation softlanding: new vendor have no experience in Shopee pick up service(e.g. Designing pick up route, sourcing 40+ truck/drivers) -> support new vendor in optimization of driver route and provide lead time buffer for delayed orders if needed in the early stage
  2. New vendor doesn't cover seller CS (~500 first mile related tickets per day done by current vendor) -> can manage from KRCS team as it is simple inquiry(e.g. When is domestic return) and simultaneously manage seller expectation
  3. Q4 peak season volume capacity -> can prepare the vendor as we have order forecast and can test the new vendor before peak season (before the transition in Nov) by giving self-truck seller volume(10% of daily volume) to new vendor. Also, current vendor's capacity cannot cover Q4 peak season volume as per SLA either and current vendor capacity not as flexible due to high manual% (vs. new vendor with automation equipments)

'25 KR WH RQF operations comparison and considerations

		Current	Option A	Option B	Option C
Detail		Single TWH - 100% of SLS SoC - 100% of SPS	Single TWH (new vendor) - 100% of SLS SoC - 100% of SPS	Single TWH + 1 SPS vendor - 100% of SLS SoC(new vendor) - 100% of SPS only(existing vendor)	Utilize 2 TWH incl. SPS service - 70% of SLS SoC(new vendor) - 30% of SLS SoC & 100% of SPS(existing vendor)
Operations	Accessibility(distance to Airport)	45min to ICN	30min to ICN	30min to ICN	45min to ICN
	Handling Capacity(IB volume/daily)	150k	300k	300k	300k
	-- Flexibility of increased capacity	*medium (human resource input)*	*high (automated equipments + human input)*	*high (automated equipments + human input)*	*medium (human resource input)*
	WH Size	3,000㎡	up to 9,900㎡	up to 9,900㎡	up to 7,300㎡
	Seller CS direct support	experienced CS support	Early stage limited capability (education needed)	Early stage limited capability (education needed)	experienced CS support
Key concern		insufficient capacity considering 2025 order growth target	1) Can we have smooth operational transition in Q4 incl.SPS? 2) Learning curve of Seller direct CS support	SPS cost not yet confirmed with current vendor (reflected monthly 137k $ as conservative estimation in the previous slide)	1) relatively low flexibility of capacity increase 2) relatively low cost reduction impact

Finished 2nd round of WH RFQ with target rate(based on 1st round WH bid lowest rate * 90%) which reduces WHS cost/parcel by -13.6% resulting in -1.5%p PnL reduction impact when Option B. After agent award, new vendor will have 5 month to prepare WH facility installments and system integration before 2025 Nov.

Key Highlights

- KR /WH RFQ progress is **on track to apply new WH handling rate from Nov** as the we have already executed due diligent(e.g. Visit WH site, investment plan etc)
- Key goals of the RFQ are **1) Enhance WH inbound capacity** up to 300k per day 2) **SPS** service to be provided to **"all" sellers** within service area without routing issue 3) secure **WH cost reduction** from vendors 4) Discover possibility of utilizing dual warehouses to reduce reliance on 1 vendor in terms of risk mgmt
- Main strategies to achieve the goals were to 1) Raise Free SPS criteria from ADO 65 to ADO 200 to lessen agent's loss from SPS 2) Receive rates including and excluding SPS to analyze and compare various options 3) Provide aggressive target in the 2nd round to meet our internal target

'25 KRWH 1st/2nd Quotation Round	Award	Preparation	'25 New WH Rate

1st round WH RFQ & WH due diligence
Cost lower vs. current?

Yes → Vendor award

No → **2nd round WH RFQ**
Push down WH cost down by providing target rate(based on 1st round submitted market rate) -> if meet target rate

We are here

New vendor preparation
- Contract and SOP alignment
- WH layout design
- Built in equipment(e.g. Sorting, dimension machine)
- System integration
- Trial with seller self-truck volume

New rate go-live with
1) new TWH vendor and
2) SPS service provider with existing vendor
('25 Q4 ~)

(Option B) -1.5%p PnL reduction impact(+0.8M USD yearly vs. already reduced LH rate from bidding)

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[KR] New Seller Program (Songie)

[New Seller program Performance] All input & output factors on track: 21 shops (162% RR), and 493 ADO (177% RR); Take rate and PC2% are also healthy at 23% (vs. 16% KRCB), and 14% (vs. 4% KRCB) respectively

Key Highlights

- '25 FY target : 66 sellers, 205 shops, 1,760 ADO, $27,529 ADG, 10% PC1%, and 8% PC2% (market breakdown in next slide)
- Since program launched on Mar 1st, overall performance is strong for both input & output factors:
  - However significant variation in RR% across different markets for shop# while ADO is all good except for TH/VN
  - Mainly due to different 1st market onboarding trends vs. Y-1 (projection set based on Y-1 trend), having more new shops in SG vs. historical trends

Data period: As of Mar 24

New Seller Program	Total			SG			MY			TH			TW			VN			PH		
	Actual	Target	RR%	Actual	Target	RR%	Actual	Target	RR%	Actual	Target	RR%	Actual	Target	RR%	Actual	Target	RR%	Actual	Target	RR%
shop#	21	13	162%	10	4	250%	2	2	100%	1	2	50%	3	2	150%	3	2	150%	2	1	200%
ADO	493	278	177%	167	64	262%	139	7	1989%	0	22	-	16	9	179%	142	165	86%	28	11	257%
ADG ($)	$9,322	$2,914	320%	$4,009	$1,247	321%	$1,785	$349	511%	$0	$182	-	$887	$112	792%	$2,403	$950	253%	$239	$74	323%
TR%	23%	31%	75%	23%	22%	106%	22%	32%	70%	0%	35%	-	17%	55%	31%	27%	20%	136%	25%	49%	51%
PC2%	14%	1%	1369%	13%	7%	189%	7%	22%	33%	0%	8%	-	14%	16%	87%	19%	10%	190%	16%	34%	48%

Benchmark KRCB

TR%	16%	16%	99%	20%	20%	99%	20%	20%	100%	16%	16%	99%	8%	8%	101%	20%	21%	97%	17%	17%	100%

FY Target Projection: by end of ‘25, aim to acquire 66 brands, 205 shops and generate 1.8k FY ADO (+86% YoY)

- New shop# YoY is negative due to (1) 40% decreased resources (SA+ICB) in ‘25 vs. ‘24, and (2) focus on high quality sellers
- Since we focus on more high quality seller and provide pkg, expecting to increase 76% YoY in ADO
- VN having positive YoY in all input & output factors given the assets, and KR beauty market size (8x bigger than SG)

Performance Metric	2025 FY Target & YoY													
	SG	YoY%	MY	YoY%	TH	YoY%	TW	YoY%	VN	YoY%	PH	YoY%	Total	YoY%
New Shop# for program	49	-13%	36	-22%	16	-20%	25	-24%	43	10%	36	-8%	205	-12%
ADO	358	76%	57	57%	231	115%	250	87%	778	86%	87	77%	1,760	86%
ADGMV ($)	$7,436	76%	$1,348	58%	$3,931	116%	$6,585	86%	$7,011	86%	$1,218	77%	$27,529	85%
PC2 (%)	2%	-12%	15%	-2%	5%	9%	4%	-2%	15%	8%	31%	23%	8%	0%p

In general, we're on track for both input and output factors; however, there are some improvement for shop# distribution and order drive; thus we tackle three key items

Challenges/Blocker	Description	Next Step	Progress	ETA
Shop# too much skewed to SG	Despite overachieving seller# target, having significant variance across market due to different first market onboarding trend vs. Y-1 ● Of 21 shops in NSP, 47% in SG, especially TH has only 1 shop	(1) SA to pitch first onboarding market where having high demands already; if no demands or no specific strategy for market prioritisation from brand side, prioritize VN/TH market where having 2x , 8x higher K-Beauty market size vs. SG (2) PSP to filter SG focused brands who have demands on non SG market, and push them to open 2nd+ markets	WIP	End of April (for May cycle)
Commitment set per shop(market) for the program can deter sellers from opening more markets	When joining NSP in multiple markets, the $3,000 commitment per market becomes a big financial burden/bottleneck; team aims to have brand operate >3 shops within a year since launched	Lower down sellers commitment for 2nd+ markets: agliend with all markets and result is as follow: ● VN: first 3-month commitment full waiver ● TW/MY/PH/TH/SG: Reduced to $1,200 for 6 months from the second shop	Done	-
Low NSP-attributed orders except for sponsored voucher	No big order uplift through program from existing program exposures (ie. GDD) according to RM's Feedback	Currently, having no expertise on which assets are effective ● Evaluate current assets impact by following local teams methodology (Reg CB will support) ● Explore with local teams to replace/add ADO driven assets SG: decided to add CFS slots to order drive (# of slot : TBC)	WIP	Apr 9

[JP] TW fraud (Mayuko)

[JP TW fraud] Issue now contained with minimal ADO impact expected in April; Next steps focus on restricting non-int channel to whitelist basis and resetting ADO baseline to exclude fraud-related distortion

Key Highlights

- **Context:**
  - Since Dec 2024, JPCB faced rising negative escrow, driven by buyer-seller collusion and lack of logistics traceability,especially in the non-integrated channel. This led to ~$311K in negative escrow and ~1.4K sellers being banned or frozen (~1.3K ADO / $263K GMV impact).
- **Progress:**
  - Heimao (integrated channel) will go live on April 1, with the non-integrated channel closing by April 16.
  - Stricter KYC enforcement has reduced rejection rate from 64% to 37%, and US$828K escrow is currently held pending risk checks and RR due status.
- **Next Actions:**
  - Apply whitelist for KYC-verified F&B sellers (minimal ADO loss expected) to use non-integrated channel.
  - Reset ADO target baseline to 1.1K to reflect normal operations excluding fraud.
  - Complete escrow release for eligible non-fraud shops by May, now supported by A24 updated logic (in effect from March 21) ensuring escrow is held until RR due date is met.

Area	Action Plan	Progress, Impact and Next Steps
Seller Onboarding	Stronger KYC Enforcement	• KYC rejection rate improved from 64% (Dec 2024) to 37% (Mar 2025) with gradual tightening. • Further strengthening is needed to prevent fake IDs and misuse of real personal info by non-licensed sellers. • **Next step:** Consider re-evaluating third-party ID verification service (previously estimated at $4K/month + $5K setup).
Logistics	Restrict Non-Int Channel	• HeiMao (integrated channel) will launch on April 1; the **non-integrated channel to close by April 16.** • Some F&B categories cannot be serviced by the integrated channel (75 ADO, 3% of JP TW ADO) • **Next step:** To mitigate impact, KYC-complete F&B sellers to be whitelisted, with expected ADO loss <10 (0.3% of JP TW ADO).
Payment Control	Hold or Suspend Escrow	• US$828K in **escrow remains held: US$519K from non-fraud shops (322)** and US$309K from fraud shops (375). • For non-fraud shops, escrow will be released once 75% of their orders hit RR due; **final release expected by May 8 → Quite negative seller sentiment on the low predictability & visibility on the escrow payout and impact to their cash flow** • After Mar 21, updated A24 logic delays escrow release until RR due day, based on delivery/pickup timelines by channel type.
Ops	Freeze of Fraudulent Shops	• 1,430 shops frozen across Dec–Mar, resulting in 1,324 ADO and $263K GMV impact. • ADO impact until now was ~1.3K, but excluding Dec's fraud-driven spike, the normalized ADO is ~1.1K. • **Next step:** to reset baseline to 1.1K ADO to reflect normal operations and exclude fraud-related distortion.

** KFBS cost from FM~LM, SG Beauty(Skincare) ADO 50 sellers basis*